# Corrected Document



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B Y A F Z A L A L I S H I G R I

Will constitutional reform follow?

Agrippa failure

Deadly roads

B Y M O H A M M A D Y O U N U S D A G H A

Sindh's NFC paradox

Sadly, Sindh made hardly any gains in the period following the seventh NFC Award.

DAWN SATURDAY, JULY 4, 2026,

WHILE presenting the current Sindh budget — the province's 16th since the seventh NFC Award went into effect — Chief Minister Mural Ali Shah attributed the sharp reduction in level - open spending to the grant of Rs260 billion for the federation that Sindh agreed to at the National Economic Council meeting of June 10, 2026. The figures, however, suggest a very different story.

Sindh's revenues come from federal transfers, provincial indirect taxes largely collected from urban areas, mainly Karachi, and agricultural income tax. In 2026-27, federal transfers are budgeted at Rs2,263bn, up by Rs337bn, while provincial indirect taxes are expected to rise by another Rs65bn. Together, these two sources will provide over Rs402bn in additional resources. In contrast, agricultural income tax remains newly - Gible at only ISBN, less than 0.2 percent of the budget resources.

As the overall increase on the revenue side amounts to Rs402bn, it should have comfortably accommodated the grant of Rs260bn to the federal government, without any excessive cuts in development.

However, all additional resources of Rs402bn
have been diverted towards non-productive cur -
rent expenditures, which have been increased by
20pc over the last budget (an increase of Rs418bn
— climbing from Rs2,142bn to Rs2,560bn). In
contrast, the entire amount of Rs260bn grant to
the federal government has been effectively
charged to the development budget, reducing it
by 29pc (Rs298bn) from Rs1,018bn to Rs720bn.
The sharpest cut is a 73pc reduction from district
Annual Development Plan (ADP), reducing it
from Rs55bn to just Rs15bn.

After the unprecedented increase in its final -
coal resources after the seventh NFC Award, it
was expected that Sindh would make progress
towards human resource development and invest
in modern infrastructure. On the contrary, Sindh
steadily reduced the share of ADP in its budget
from about 25pc in 2011-12 to only 10.8pc today,
with local governments (LG) suffering the large -
est cuts.

In the 16 years (including this budget), the
quantum in federal taxes under the NFC and
other transfers stand at Rs14,473bn and an Asti -
mated contribution of Rs4,856bn of provincial
taxes. Out of these Rs19,328bn, only 17pc on aver -
age, was allocated to the ADP and the rest went
towards non-development expenses. Transfers to
the LG were reduced from 16pc of the provincial
budget in 2011-12 to a bare 5.6pc in this budget.
While generating approximately 95pc of the
federal and provincial taxes collected in Sindh,
Karachi received only Rs680bn for infrastructure
over 16 years — barely 3pc of its contribution to
taxes that end up in the budget. Unsurprisingly,
Karachi remains among the world’s least livable
cities, with the World Bank estimating an infra -
structure deficit of around $10bn. Had the city
received even its population-based share of level -
open spending, it would have obtained nearly
Rs2 trillion in the last 16 budgets.

Not only has Karachi been deprived of level - open funds for new infrastructure, it contain - UES to suffer from chronic underfunding for municipal services and the maintenance of roads, parks and other civic facilities.  Until 2010, Karachi received compensation for the abolition of octroi and Vila tax through a dedicated share of GST revenues. Following the seventh Award, however, this arrangement was absorbed into the enlarged provincial fiscal pool from where it was never passed on to the LGs as per their due share.
Had the earlier mechanism continued, Karachi could reasonably have expected to receive around Rs170-230bn this year alone. Instead, the allocation provided for the Karachi Municipal Corporation in the current budget is about Rs27bn only. Even after adding minor grants and KMC's own-source revenues, the total budget amounts to barely Rs60bn.
How can a megacity of over 25m people genre - acting thousands of billions of rupees in federal and provincial revenues be expected to provide municipal services, maintain its infrastructure and remain economically competitive with such meager resources?
Perhaps the most telling indicator of Sindh's fiscal priorities is agricultural income tax.
Despite constituting a major source of wealth, it is budgeted to contribute only ISBN — less than 0.2pc of total revenues. The World Bank Asti - mates that agricultural income tax could yield roughly 1pc of GDP nationally, implying a potent - tail of around Rs300bn for Sindh. The current target suggests that there is no intention to tax agricultural incomes.
The consequences of this misgovernance of resources are visible in Sindh's social indicators.
In the 1990s, Sindh was broadly comparable with Punjab in health and education outcomes. Today, it trails behind Punjab and KP on most indicators and has even fallen behind Balochistan in the net enrollment rate. Sindh's NER rose from about

41pc to 54pc during devolution to the LGs in the Musharraf era but subsequently declined to around 45pc after education administration was recentralized to the province. Currently, 44pc of Sindh's children are out of school compared with 27pc in Punjab and 38pc in KP, while 27pc remain unimmunized, vulnerable to diseases, compared with 12pc in Punjab and 22pc in KP.

The figures show that Sindh's problem is not a shortage of resources but the manner in which those resources have been allocated. The reduce - ton in development spending cannot be explained by Article 164 grant when revenue growth exceeded the amount transferred to the federation. Over the past 16 years, unfree - dented fiscal transfers sharply contrast with declining social indicators, shrinking develop - meet allocations, weakened LGs and chronic underinvestment in Karachi. Unless this pattern changes, Sindh will continue to underperform despite abundant resources, while Karachi — the country's economic engine — will remain unable to realize its full potential towards the country's economic growth. ðn

The writer is a former federal secretary and caretaker provincial minister. He is currently chairman, Policy Research and Advisory Council.

WHILE participating in the recent budget debate at the National Assembly, Bilabial Bhutto-Vardar argued in favor of Azad Kashmir and Gil git-Baltistan being given direct represent - ton in the federal parliament. The PPP cheaper - son has advocated for provisional provincial STA - us for GB, without compromising the country's stated position on the Kashmir dispute in view of the UN resolutions.

Historically, both regions revolted against the Maharaja of Jammu and Kashmir as British rule came to an end in the subcontinent. Following a bloody struggle, the people of GB and AJK gained control of their territory. GB wanted to accede to Pakistan while in AJK, local political leaders established a government under Vardar

Mohammad Ibrahim Khan. The constitutional evolution of the two regions, however, followed different paths. Under the controversial Karachi Agreement of 1949, powers relating to GB's administration were transferred to to govern - meet of Pakistan. AJK developed a political struck - sure with its own elected assembly, prime minis - TER and president, within a framework subject to federal oversight.  GB, on the other hand, remained under direct bureaucratic administer - ton from Islamabad. Governance was largely managed by junior civil servants who were often unfamiliar with local realities and aspirations.

The region continued to be governed through colonial-era legal structures, compounded by the introduction of the Frontier Crimes Regulation (FCR) and the appointment of political agents on the model of the former tribal areas.

This prolonged denial of representative institute - tons and constitutional rights became a major source of grievance for GB's residents who con - tinge to seek a constitutional arrangement that guarantees democratic representation, self-gov - er nance and equality with citizens of Pakistan's other federating units, consistent with the Prince - PLE of self-rule provided in UN resolutions.

During the recent election campaign in GB, the issue of constitutional and political empower - meet received surprisingly little attention. Most political parties focused on routine governance matters, development projects and local political rivalries. The long-standing demand for a mean - mindful constitutional status and representation in Pakistan's federal institutions remained largely absent from the public discourse.

Bhutto-Vardar, however, placed the issue of constitutional rights at the center of the PPP's election campaign. He reminded voters that it was Cultivar Ali Bhutto who initiated the most far-reaching reforms in GB after assuming power in the early 1970s. The princely states of the region were merged into a unified administrative structure, bringing an end to centuries-old feudal arrangements. Discriminatory laws, including the FCR, were abolished, and administrative reforms integrated the region more closely with Pakistan’s mainstream governance system.

Further judicial and administrative reforms were introduced in Behavior Bhutto’s era. Although the powers granted remained limited, these mean - uses marked an important step towards participate - Tory governance and laid the foundation for future constitutional development.

The most significant breakthrough came in 2009 when the PPP government promulgated the Gil git-Baltistan Empowerment and Self-Governance Order. Until then, the region was officially known as the ‘Northern Areas’ — a DES - ignition that ignored its historical and cultural identity. The 2009 reforms formally adopted the name ‘Gil git-Baltistan’ and introduced institute - tons resembling those of a province. An elected chief minister became the head of government, while a governor represented the federation. The Legislative Assembly received enhanced powers, and the people were given a greater role in man - aging their own affairs.

Although these reforms stopped short of grant - ING constitutional status or parliamentary repre - sensation, they represented a major departure from the bureaucratic system that had long gov - earned the region. More importantly, they genre - aged a sustained political discourse on the need for full constitutional recognition.

Faced with growing demands for provincial STA - us, the PML-N government constituted a com - mitten under the chairmanship of the late Santa Aziz, a respected statesman. The committee con - suited respected diplomats, constitutional experts and public policy practitioners. Its CECOM - emendations supported representation for GB’s people in the federal parliament and proposed institutional reforms aimed at enhancing local participation in governance.

Unfortunately, the PML-N did not fully simple - Meet the recommendations of its own committee, introducing, instead, a new governance structure in 2018 that, in certain respects, rolled back the powers granted under the 2009 Order. These shortcomings were noted by the Supreme Court of Pakistan that ordered the repeal of the 2018 Order to be replaced by a revised 2019 new order drafted by the federal government based on the Santa Aziz report.

Building upon his party's historical legacy, the PPP chairman has argued that the logical step in the constitutional evolution of GB is the granting of provisional provincial status and represent - ton in both Houses of parliament while safe - guarding Pakistan's position on the Jammu and Kashmir dispute. To underline his priorities, he invoked the concepts of ' habitat' (self-rule) and ' Malaya ' (ownership rights over land and resources). These themes resonated strongly with the electorate, particularly in Batista, where concerns over land ownership and local control of resources have remained central political issues for many years. His message contributed signify - cantle to the PPP's success in the recent local assembly elections.

Bhutto-Vardar has taken the debate from GB to the floor of the National Assembly. Consistent with the PPP's historical role in advancing consti - tuitional and political reforms in the region, he has used the parliamentary platform to articulate the aspirations of the people of both GB and AJK. He openly advocated granting both regions represent - station within the country's constitutional framework while preserving Pakistan's principled post - ton that the final status of these territories remains subject to the eventual resolution of the Jammu and Kashmir dispute.

Whether this marks the beginning of genuine constitutional transformation or is merely another chapter in a long history of unfulfilled promises will depend on the political will of Pakistan's leadership. GB's people have spoken in the hope that the PPP will honor its commit - meet. They deserve more than assurances; they

deserve a constitutional settlement that Guarani -
tees representation, self-governance and equality within the federal framework while safeguarding the country's principled position on Kashmir.
Bilabial Bhutto-Vardar has spoken clearly. The people of GB now await action. ðn
The writer, a former IGP Sindh, belongs to Gil git-Baltistan.
The PPP chairman placed the issue of constitutional rights at the center of the party's election campaign in GB.
THE first year of Pakistan's unified agriculture income tax regime has produced an outcome that should surprise no one. Despite sweeping legislation introduced under the IMF program, provincial governments collected barely Rs5.62bn, or less than 2pc of the Rs306bn declared by taxpayers in agricultural income. Clearly, legislation alone cannot overcome entrenched political interests. For decades, agricultural income has been one of the most glaring anomalies in our tax system. While salaried workers and documented businesses shoulder an increasing tax burden, one of Pakistan's largest economic sectors has largely remained beyond effective taxation. The recent reforms sought to change that by harmonizing AIT laws across provinces. Instead, they have merely exposed the gaps between policy commitments and political reality. Provinces adopted the reform with varying degrees of enthusiasm, and each implemented it differently, reflecting a deeper reluctance to confront powerful rural elites.
That reluctance is not accidental. Agricultural taxation lies at the center of Pakistan's political economy. The provinces are heavily influenced by landed interests, making meaningful enforcement politically costly. Asking them to rigorously tax agricultural income means asking governing parties, especially in Punjab and Sindh, to tax their own political base. Not even the IMF could compel the provincial governments to challenge constituencies that continue to dominate electoral politics. Weak land records, outdated revenue administration, incomplete crop data and a persisting Atari system undoubtedly undermine tax collection. But these institutional weaknesses have survived because successive governments have had little incentive to correct them. Technology — whether digitized land records

or online filing systems — can improve compliance only if authorities act against influential defaulters.

Provincial data reinforces this view. Punjab collected only a fraction of its potential revenue and was forced to slash even its modest collection target. Sindh has invested in a relatively stronger tax administration, but compliance remains weak. Since the 18th Amendment, provinces have demanded greater fiscal autonomy and a larger share of national resources. Autonomy, however, entails responsibility. Constitutionally assigned taxes such as agriculture income tax are meant to strengthen provincial finances and reduce dependence on federal transfers. Failure to mobilize these revenues weakens the case for greater resources while affluent landowners continue to enjoy privileges unavailable to taxpayers in virtually every other sector of the economy. Unless the provinces develop both institutional capacity and political resolve to enforce the law effectively, agricultural income will remain outside the tax system.

Our chronic revenue crisis will persist not because Pakistan is short of taxable income but because it continues to exempt those with the greatest political influence from contributing their fair share.

THE horrific bus crash at the Balochistan-KP border on Friday should prompt greater scrutiny of road safety measures. Unfortunately, tragedies like these stay in the headlines for a day or two and are then forgotten, with no serious effort made to examine the causes and prevent such accidents in the future. At least 40 people perished as the bus, headed for Peshawar, plunged into a deep ravine. While the Balochistan chief minister has ordered an inquiry into the accident, some officials have been quoted as saying that the vehicle was overloaded. A thorough probe can ascertain the facts. Rescue efforts were also hindered by the rugged terrain at the site of the accident.

Whether it is perilous urban roads, thoroughfares in remote locations or poorly maintained highways, Pakistan’s road safety record does not inspire confidence. The figures are stark. According to the Asian Transport Observatory, the state reported around 5,000 fatalities in road crashes in 2021. This may be a grossly underreported figure, for the WHO estimates that the actual fatality figure for the year in question may have been around 28,000. Other monitors report even higher estimates.

Therefore, the first requirement is up-to-date — and accurate — data regarding fatalities on the roads. As the ATO notes, “inconsistency in data collection … makes it difficult to assess the true extent of the problem". Amongst the major causes of road accidents are rash driving and the poor condition of roads. According to the ATO, there is a "need for significant investment in improving road infrastructure to meet safety standards".

Bad roads are a problem not only in distant towns and the rural backwaters; but also on major city highways, such as the M9 which connects Karachi to Hyderabad. Furthermore, reckless driving, particularly many drivers' near-suicidal disregard for safety protocols, creates hazards on the country's roads. Driving on the wrong side and speeding are common on our roads and highways, reflecting a regulatory failure. Unless the violation of traffic rules, including rash driving, are penalized, our roads will remain hazardous. Vehicles must also be in good working condition. Additionally, rescue services need to be situated in a way that they can be dispatched at short notice in case of emergencies. In order to prevent more such tragedies, the state, and road users themselves, must pledge to uphold and follow safety regulations.

Terrorism numbers

A S Pakistan continues to grapple with the menace of militancy, the number of terrorist attacks present a mixed picture. According to the Islamabad-based Pakistan Institute for Conflict and Security Studies, the number of terrorist attacks in the country dipped by 16pc in June as compared to May. Casualties amongst the security forces and civilians also dropped. While this may highlight a positive trend, indicating that counterterrorism efforts are producing results, the data shows, at the same time, that high-profile attacks, including suicide bombings, continue to pose a challenge. The latest such attack occurred last week targeting a Rangers' facility in Karachi. Balochistan has witnessed a 31pc reduction in attacks, but while attacks in KP's tribal districts are also down, the rest of the province saw a "slight increase" in terrorist activity.

The figures compiled by the organization for the first half of 2026 show that there were over 2,100 fatalities in this period. Though the vast majority of deaths were those of the terrorists, over 700 security personnel and civilians were martyred between January and June. These are not small numbers. The list of the injured is also considerable. Therefore, the authorities need to keep a vigilant eye on terrorist groups, and keep adapting CT strategies to further uproot militant networks, with minimum loss of innocent lives.

The number of attacks may be down, but the state must prevent high-profile suicide attacks through effective intelligence-based operations. The latest incident in Karachi indicates that terrorist groups could be moving from the peripheries to urban centers to carry out attacks. The state should act accordingly and thwart their violent plans. While terrorist safe havens in Afghanistan continue to pose a threat, the administration must do all possible to ensure that no spaces are available within Pakistan's borders for militants to plan acts of terrorism. With concerted, multipronged efforts, the monster of terrorism can be defeated.